

mistake. It focuses the organization in the wrong direction, inward . . . toward itself.

Years ago, when our business was fairly new, a group of employees came to the elder Bonner with a problem.

“We’ve got trouble,” they announced. “Morale is very low. What can we do?”

“Easy,” he replied without thinking about it. “Ask for a show of hands on all employees whose morale is low. Fire those that raise their hands. We don’t want employees with low morale.”

By accident and instinct, he had hit upon a good idea. If he’d thought about it more, he would have added: “Oh yes, and fire any manager who ever mentions employee morale again.”

Any business that begins to care about employee morale is lame. Because it becomes self-absorbed, like a teenager. It begins to care about itself, its problems, and its happiness. It will spend hours worrying about the wrong things. It will direct managers’ attentions to problems that shouldn’t exist. It will transform itself into an egocentric, self-serving institution. It will begin to act like a bureaucracy, in other words—which is the mortal enemy of all productive behavior. One study we saw said that a group of as few as 100 people could spend all its time trying to sort out its own interior “problems.”

Instead of worrying about itself, a proper business should be focused outward, toward the people on the outside it is meant to service: customers, suppliers, partners, and associates. It should try to make customers happy with their transactions. Then, miraculously, employees will be happy, too. They will turn their eyes away from each other and toward their common objectives. Like soldiers quarrelling in their base, they turn to face the enemy. If employees are unhappy with this approach, fire them. Maybe they’ll be happier somewhere else.

It is the role of shareholders, properly informed and motivated, to keep a business focused on what really matters. That is the grace and challenge of family-owned businesses. Good family businesses are managed either by the family itself—or by managers with very different goals and incentives than those in most public companies. Whether tied to the business by blood or by employment contracts, the goal is to increase the real value of the